

World in Brief: Escalating threats over Hormuz; Saudi Arabia and America sign nuclear deal



Photograph: Getty Images

Mohammad Bagher Ghalibaf, the speaker of **Iran's** parliament, warned that if Iran cannot export oil, “no one” in the region will. He added that the Strait of Hormuz would not return to pre-war conditions. Earlier, **Donald Trump** threatened to bomb Iranian bridges or power plants if ships are attacked in [the strait](#). Brent crude, the global oil benchmark, briefly reached \$95 a barrel.

Saudi Arabia and **America** signed a deal to build a civilian **nuclear** programme in the Gulf state. The agreement, which Congress must review, would reportedly last 30 years and could allow American companies to build a uranium-enrichment facility in Saudi Arabia. It will raise concerns about further proliferation of nuclear weapons, despite safeguards intended to prevent it.

Tesla reported earnings of 33 cents per share in the second quarter, falling short of analysts' expectations. The carmakers' revenues were \$28.2bn, up 26% year on year. But it reported negative free cash flow for the first time in over two years. In April Tesla said it planned to raise capital expenditure above \$25bn this year as it boosts [investment in AI](#) and robotics.

Alphabet, Google's parent company, reported \$119.8bn in revenue in the second quarter, up around 24% year-on-year. [Google Cloud](#) revenue grew 82%, to \$24.8bn, driven by demand for AI infrastructure. This week Alphabet released cheaper Gemini AI models. Separately, rival company OpenAI said that its own models [hacked into a software company's system](#) without being told to do so.

AMD struck a deal to invest up to \$5bn in **Anthropic**—the latest collaboration between an American chipmaker and a [frontier AI company](#). In return, Anthropic will make substantial purchases of AMD's latest AI chips, giving the lab another two gigawatts of computing power. Its Claude AI assistant will also be used to accelerate AMD's software development.

The **European Commission** approved **Paramount's** \$111bn bid [to buy Warner Bros Discovery](#), subject to certain conditions. Paramount has offered concessions to ease regulators' concerns about competition; these include terminating its stake in United International Pictures, which distributes films in Europe, within 13 months of the deal closing. But hurdles elsewhere remain: last week a dozen American states [sued to block the merger](#).

India's opposition parties protested in parliament, forcing its suspension. They demanded the resignation of the education minister, Dharmendra Pradhan, over a series of exam-related scandals that have prompted [escalating student protests](#). Earlier Mr Pradhan said the government is “committed” to exam reforms. Meanwhile, police detained Rahul Gandhi, India's opposition leader, as he staged a sit-in outside the prime minister's house in Delhi.

Figure of the day: 3.5%. The share of South Americans who consume insufficient calories. Explore how the region is [eradicating hunger](#).

Nicolás Maduro's day in court



Photograph: Getty Images

It has been 200 days since American special forces **bundled Nicolás Maduro** into a helicopter and whisked him from Caracas to a grisly jail in Brooklyn. Venezuela's **former strongman** and his wife, Cilia Flores, are accused of drug-trafficking and weapons offences by the American government; Mr Maduro also faces narco-terrorism charges. Both deny the charges. Mr Maduro's legal team will make their case at a hearing in New York on Wednesday. (The trial is not expected to begin until 2027 at the earliest.)

The hearing is an opportunity for the defence to challenge the government's evidence and for both sides to present pre-trial motions. Mr Maduro's lawyers are likely to say his capture was illegal and argue that, as a head of state, he has immunity from prosecution. Such ploys could slow down the proceedings, but Mr Maduro's bid to dismiss the charges will **almost certainly** fail.

Booming EV sales won't lift Tesla



Photograph: Getty Images

On Wednesday, fuelled by bumper electric-vehicle sales, Tesla is expected to report a sharp rise in second-quarter revenue. Investors will focus on the extent to which sales reflect price cuts and promotional offers. They will also monitor Tesla's cash-burn rate as it spends big on [artificial intelligence](#) and factories.

The firm's shares have fallen by 17% this year, despite hopes [Elon Musk](#) would try to merge his carmaker with the newly listed SpaceX. Tesla has gained American market share from local rivals. But global pressure from cheaper Chinese EVs means investors do not see the vehicles as a source of growth—it will, they believe, have to come from self-driving technology, as well as [robotaxis](#) and humanoid robots. For now, there are few Cybercabs on the road and Tesla's Optimus robots are not in commercial production. Mr Musk will no doubt continue to predict that they will arrive in large numbers soon.

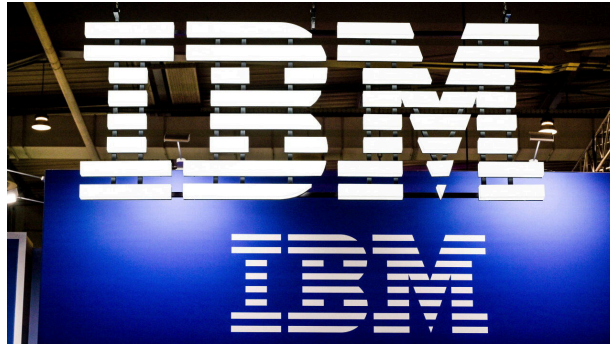
Not charging

Tesla, share price, \$



Source: LSEG Workspace

IBM tries to beat the blues



Photograph: Alamy

IBM reports second-quarter results on Wednesday—and “Big Blue”, as the American computing giant is known, is under close scrutiny. Its share price recently dropped by 25% in a day after its management said that they expected revenue to grow by just 1% this quarter, below the 5% analysts had predicted. The reason is the artificial-intelligence frenzy: IBM said customers had cut back on spending on its software and mainframes to instead buy servers and storage gear for AI.

Still, IBM’s pivot towards AI has seen its share price soar in the past three years. It has released a series of small models under the name of Granite, which are aimed at business applications. And its consulting arm has won business by telling large firms how best to adopt the technology, including with banks and health-care providers. In today’s volatile market, Big Blue will need to reassure investors that it can [remain an AI darling](#) rather than become an AI disaster.

Bad Bunny breaks records



Photograph: Getty Images

On Wednesday [Bad Bunny](#)—whose real name is Benito Antonio Martínez Ocasio—will perform the final show of his world tour in Brussels, Belgium’s capital. In eight months the Puerto Rican musician has played in 22 cities across four continents.

Notably, not one was in America: he was concerned that his fans might be targeted by Donald Trump’s immigration crackdown. Mr Ocasio has sparred with the president before. When he performed in Spanish in this year’s Super Bowl halftime show, Mr Trump grumbled that “nobody understands a word this guy is saying.”

That was nonsense. With more than 40m Spanish speakers, America is the [fifth-biggest Hispanophone country](#) in the world, not far short of Spain. Mr Ocasio’s global tour is the highest-grossing ever to skip the country, according to Billboard, a music-industry publication. His American fans will be disappointed to have missed out, but Mr Ocasio can afford to take the hit. He is the first Latino artist to earn \$1bn in touring revenue.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which Joe Orton play features the corrupt policeman Inspector Truscott?

Tuesday: Which all-female rock group had hits such as “Walk Like An Egyptian” and “Manic Monday”?

*My fingers always seem busier
than my mind.*

Alexander Calder